

a teacher-shortage area, you may be able to defer for up to three years. You can also get a deferment for up to three years if you're unemployed. During deferment periods, the government sometimes pays the interest for you. That's the case with some Stafford loans and Perkins loans. With most other student loans, you'll eventually have to pay the interest that accrues during the deferment period. To learn more about deferments, contact your loan servicer.

EVERYTHING YOU NEED TO KNOW ABOUT THE STUDENT LOAN SCANDAL

The student loan business has come under fire in recent years after revelations of corruption throughout the system. It started when an investigation by the New York State attorney general found that financial aid officials at several big-name colleges and universities were paid kickbacks by private loan companies in exchange for sending borrowers their way. Once this collegiate Pandora's box opened, it became clear that the mess involved financial aid officers at other colleges and universities across the country, as well as several major banks. In some cases, school officials initiated the deals. In others, the lenders did everything from sending pricey bottles of wine to providing all-expense-paid junkets in order to drum up business. Unreal. But the very real outcome: a slew of resignations and firings, millions of dollars in settlements, increased oversight by the Department of Education, stricter legislation, and a renewed commitment by banks and schools to operate on the up and up.

However, the scandal has been so far-reaching that the fallout may not be over. The bottom line is that if you're trying to get financing to go back to school, do your homework (and get a second opinion) before you sign on the dotted line.

If you don't qualify for a deferment, all hope is not lost. For those who simply can't make the payments, servicers can offer time off from paying through a process known as **forbearance**. Like a deferment, this is granted